

MONEY LAUNDERING

Exam Structure – MLR:

1. Does the MLR apply to this type of work?
2. New or existing client?
3. What CDD is required for this client?
4. Apply the correct CDD measures.
5. When should CDD be conducted for this client?

Money laundering = transactions where proceeds from crime are 'cleaned' so that its source becomes difficult to trace.

Offences:

Money Laundering, Terrorist Financing and Transfer of Funds Regs 2017 A person who fails to carry out CDD, may be charged of an offence with up to 2 years imprisonment and/or fine.

A person may be charged with a criminal offence if they have (knowingly/recklessly) failed to carry out CDD or (knowingly/recklessly) accepted false documentation.

Solicitors will be **personally liable** even if acted on behalf of a firm.

Proceeds of Crime Act 2002 Solicitors can be guilty of criminal offences if they receive the proceeds of crime.

DOES THE MLR APPLY?

Lawyers must carry out customer due diligence (CDD) before taking on work from clients.

MLR applies to work carried out by relevant persons.

Relevant persons:

1. Independent legal professionals
OR
2. Trust/company service providers.

Independent legal professionals = firms participating in:

1. Conveyancing transactions
AND
2. Financial transactions concerning the buying and selling of businesses. – **Acquisitions**.

Trust or company service provider = firm or individual who provides services for companies such as forming them or acting/arranging for another person to act as a secretary or director.

If the work the firm falls within the definition, firm must appoint:

1. A Money Laundering Reporting Officer (MLRO)
2. A Money Laundering Compliance Principal (MLCP)
3. A Compliance Officer for Legal Practice (COLP)
AND
4. A Compliance Officer for Finance and Administration (COFA)

NEW OR EXISTING CLIENT?

If new client: You must undertake CDD for all new clients. – eg. if two clients instruct you together, undertake CDD for both of them.

If existing client: CDD has already been undertaken.

You must carry out ongoing monitoring of the business relationship with client by:

- Scrutinising each transaction – eg. the source of funds.
AND
- Reviewing existing records and keeping all CDD-related documents or client info updated and new records should be checked using an electronic verification service provider. – eg if client's passport expired.

Anti-Money Laundering Guidance for the Legal Sector Staying alert to suspicious circumstances or the provision of false CDD material. Does the fact pattern suggest money laundering?

WHAT CDD IS REQUIRED FOR THIS CLIENT?

Risk assessment:

AMLG High-risk client attributes:

the more of these attributes, the higher the risk

- **Nationality, residence:** Financial Action Task Force (FATF) jurisdictions: North Korea, Iran
- **Occupation:**
 1. Has off-shore interests – this can be seen if attended offshore investment conference in tax haven – eg. **Cayman Islands, Oman, Panama**.
 2. Client operates in public works, real property, oil, gas, nuclear energy, mining or arms sectors
 3. Client works in high turnover cash business

- You do not meet the client
- Client is a politically exposed person (PEP)

AMLG High-risk client activities:

- Trust set up for no reason
- Off-shore funds or paying large sums in cash
- Getting paid by/being asked to pay unknown third party
- Overpayments, client uses client account as banking service
- Unusual or one-off, high-value transactions
- Sham litigation
- Unusual retainers for no apparent reason
- Similar signatures of both buyer and seller in a deal
- Buyer and seller have similar names and/or addresses in a deal

Example:

1. North Korean national (high-risk attribute) making a claim for personal injury (low-risk activity) – Low risk.
2. North Korean national (high-risk attribute) buying property using off-shore funds (high-risk activity) – High risk.

Choosing which type of CDD to use:

Standard CDD: Reg 28

Use this type when none of the other types apply.

Enhanced Due Diligence (EDD): Reg 33

Highest level of due diligence for high-risk clients/transactions.

Risk factors:

1. Identified as high risk during the risk assessment.
2. Client is established in a high-risk country.
3. Client is a credit institution or financial institution.
4. Client is a politically exposed person (PEP) who has been entrusted with a prominent public function or their family member/known close associate.
5. Client has provided false ID.
6. Unusually large/complex transaction or unusual patterns and the transaction has no apparent purpose.

AMLG Apply EDD if any of these risk factors are present.

Simplified Due Diligence (SDD):

Lowest level of due diligence.

Use SDD:

- * If a business relationship or transaction presents a low risk.
OR
- * If the client is an EEA independent legal professional.

Firm must take into account factors:

1. Reg 18 risk assessment suggests low risk.
2. If supervisory authority disclosed information to the firm under Reg 17(9) that would make money laundering more likely, then don't use SDD.

3. Risk factors suggests low risk.

Risk factors:

- a) **Customer risk factors:** is customer a credit institution or in administration?
- b) **Product, service risk factors:** is customer an insurance company or provides pension scheme or other financial products?
- c) **Geographical risk factors:** high risk country of residence? – eg. EEA states are low risk

Conclude:

There is nothing on the facts to enable us to make a Reg 37 assessment so we cannot use SDD. The fact pattern does not suggest suspicion of money laundering or any other reason to use EDD, so apply Standard CDD.

APPLYING STANDARD CDD:

If client is an individual:

Inspect:

1. A copy of ID docs. – driving licence, passport, birth certificate.
OR
2. Get assurances from regulated persons who have dealt with this client.

For UK resident clients, it is also good practice to have either:

- A government document with the client's full name and their address/date of birth.
OR
- A government document with the client's full name and another document verifying their address/date of birth.

Ensure ongoing monitoring of business relationship.

If client is a company:

Verify:

- * The company's name, number, business and registered address
- * The law to which the company is subject
- * Names and addresses of senior persons of the company and its directors – use Companies House
- * Articles, certificate of incorporation, audited accounts.

Check for third-party beneficial owners:

If so, CDD will be needed for both client company and third-party beneficiary.

Third party beneficial owner = person with control over, or financial interest in the client company. – **directors and shareholders with over 25% voting rights in the company.**

Carry out checks:

1. **At Companies House:**
 - Last filed People with Significant Control (PSC) register
 - Last confirmation statement
 - Current shareholders (beneficial owner's shares may have been transferred since the last confirmation statement).
2. **Enquire as to any individual who exercises control over the management of the company.** – ie. **Shadow directors.**

Ensure ongoing monitoring of business relationship.

APPLYING ENHANCED CDD:

Carrying out Enhanced CDD means undertaking both: Standard CDD and Enhanced CDD (with Enhanced ongoing monitoring).

Go through Standard CDD as above under the heading "If applying Standard CDD" then go through the below.

Enhanced CDD and Enhanced ongoing monitoring:

Enhanced CDD measures must involve:

1. Examining the background and purpose of the transaction AND
2. Increasing the degree and nature of monitoring to determine whether the transaction or the business relationship appear to be suspicious.

Additional measures:

1. Seeking additional independent, reliable sources to verify info
2. Taking other measures to understand the background and financial situation of client and other parties to the transaction
3. Taking further steps to ensure that the transaction is consistent with the purpose and intended nature of the business relationship
4. Increasing monitoring, greater scrutiny of transactions

WHEN SHOULD CDD BE CONDUCTED?

You must apply CDD measures if:

- You are establishing a business relationship
- You carry out an occasional transaction – but **transferring over 1,000 euros**
- You suspect money laundering or terrorist financing OR
- You suspect false/inadequate documents or ID.

Occasional transaction = a transaction which is not carried out as part of a business relationship.

Business relationship = where solicitor carrying out work for a client regularly, must have an element of duration, not a one-off transaction.

You must apply CDD measures if your client carries out an occasional transaction of 15,000 euros or more in one transaction or a series of transactions.

If the firm is looking to establish a business relationship with client:

Undertake CDD **before** establishing a business relationship.

If not possible, CDD can be completed during the establishment of the business relationship, if:

- Verification is completed **as soon as practicable after first contact**
- It is necessary not to interrupt the normal conduct of business AND
- There is little risk of money laundering/terrorist financing.

If the firm has already established a business relationship with client:

CDD must have **already been completed.**

Ongoing monitoring should be undertaken on a risk-sensitive basis at least every 12 or 24 months.

If looking to carry out an occasional transaction:

CDD measures must be undertaken **before** you carry out the transaction. **Do not carry out any substantive work or accept any monies until you have completed the CDD checks.**

If CDD was not done on time:

Verification may take place after the account has been opened if **adequate safeguards** are in place to ensure that no transactions are carried out by or on behalf of the customer before verification has been completed.

OTHER RULES:

Outsourcing the CDD checks:

- The solicitor may rely on someone else carrying out CDD.
- The **law firm and relevant solicitor will remain liable** for non-compliance.
- The law firm outsourcing CDD, must enter into an arrangement with the third party where the **law firm obtains the ID documentation and verifies them themselves.**

Record-keeping:

- Keep records of **all anti-money laundering risk assessments.**
- Keep all **records of CDD for 5 years** from the date on which the transaction was completed or the business relationship has ended.
- **Ongoing monitoring** must also continue for 5 years.

Screening and Independent audit:

- Firms must screen their employees detecting money laundering by assessing their skills, knowledge, conduct and integrity.
- Firms must also appoint an independent audit function to assess the effectiveness of the firm's anti-money laundering procedures.

Employee training:

Relevant employees must be **aware of money laundering laws** and must be **regularly trained** on recognizing suspicious transactions.

Penalties:

A person who fails to carry out necessary CDD is **guilty of an offence.**

Summary: 3 months imprisonment and/or a fine
Indictment: 2 years imprisonment and/or a fine

PROCEEDS OF CRIME

Proceeds of Crime Act 2002 Dealing with the proceeds of crime is a criminal offence.

The law applies to all solicitors working in all areas of practice.

DIRECT INVOLVEMENT OFFENCES:

Offences:

1. **s.327** Concealing, disguising, converting, or transferring criminal property or removing criminal property from the UK.

Converting = cash into buying property. – Relevant to conveyancing transactions. Only part of the purchase price being from criminal proceeds is enough.

2. **s.328** Being involved in an arrangement which you know/suspect facilitates the acquisition, retention, use or control of criminal property by or on behalf of another person.
3. **s.329** Acquiring, using, or possessing criminal property.

Criminal property = property that constitutes a person's benefit from criminal conduct.

More than one offence may apply to legal work. – eg. depositing funds without it being linked to a particular transaction would be both s.328 and s.329.

DEFENCES:

DEFENCE 1: Making an authorised disclosure to MLRO (3 types):

1. **Making an authorised disclosure before** the prohibited act. – eg. before solicitor accepts the money.
2. **Making an authorised disclosure during** prohibited act.

Criteria:

- Solicitor initially did not know or suspect that the property was criminal property
AND
- Disclosure is made as soon as it is practicable.

Example:

The solicitor is sent a cheque by client with a note asking solicitor to pay the money into the firm's client account; the solicitor suspects criminal activity but he is called to an urgent meeting and does not report this to the MLRO until he gets back to the office.

3. **Making an authorised disclosure after** the prohibited act.

Criteria:

- There is a good reason for failure to disclose
AND
- Disclosed as soon as it is practicable

Example:

The solicitor is threatened with physical harm unless he makes the deposit so he makes the deposit and reports it to the MLRO as soon as he gets back to the office.

Authorised disclosure = disclosure to MLRO by solicitor that property is criminal property.

DEFENCE 2: Criminal act outside the UK:

The criminal conduct which makes the property a criminal property, took place outside the UK and was not unlawful under that country/territory's jurisdiction.

DEFENCE 3: Other defences (3 types):

If the disclosure was made before the prohibited act:
Making an authorised disclosure with the "appropriate consent" (= MLRO consent).

Not making disclosure but has reasonable excuse for not doing so.

By not disclosing, solicitor carried out a function to enforce PoCA or other criminal provisions.

NON-DIRECT INVOLVEMENT OFFENCES:

Failure to disclose to MLRO in the regulated sector (s.330):

It is an offence to fail to make a disclosure to MLRO or National Crime Agency (NCA) – if:

- (a) You know/suspect, or have reasonable grounds to know/suspect money-laundering,
- (b) You receive this info in the course of business in the regulated sector
AND
- (c) You can identify the person who is laundering money OR the whereabouts of the laundered property OR that the info referred to in b) could assist in identifying the person laundering money.

The disclosure must contain:

- The identity of the person laundering money
- If known, the whereabouts of laundered property
AND
- The information forming the basis of your suspicion.

Regulated sector: *Popular exam q*

Business in the regulated sector = firm or sole practitioner who by way of business provides legal or notarial services including:

- Tax advice
AND
- Participation in property transactions concerning:
 - Buying/selling of real property or business entities
 - Managing of client money, securities or assets
 - Opening/managing bank, savings or securities accounts
 - Organising contributions for company creation, operation and management
 - Creation, operation, management of trusts or companies.

MLRO disclosure:

MLRO can also be the COLP.

If the MLRO decides to make a suspicious activity report to NCA, neither MLRO nor fee earner should authorise/undertake a prohibited act **unless**:

- Authorised to do so by the NCA
OR
- **7 working days** have passed from the disclosure to the NCA, hears nothing, and NCA has not refused authority to proceed. – 7 working days **excluding** the day of disclosure and a full day has to expire before able to authorise/undertake prohibited act.

Tipping off:

It is an offence to tip-off clients: cannot disclose that they have been reported/investigated if impedes investigation on money laundering. – eg. if terminates retainer with the client, solicitor cannot disclose that it is because they are under investigation.

It is also an offence to disclose that an investigation is being contemplated or carried out if the disclosure is likely to prejudice the investigation.

RUNNING A LAW FIRM

TYPES OF PRACTICES PROVIDING LEGAL SERVICES:

When must a business be authorised?

Organisations must be authorised if they provide any of the following:

- (i) **Reserved legal services**, unless business is exempt
- (ii) Immigration services, unless the business is regulated by the Office of the Immigration Services Commissioner (OISC) OR
- (iii) Claims management services/regulated financial activities, unless the business is regulated by the Financial Conduct Authority (FCA)

Legal Services Act 2007 (LSA) Reserved legal activities:

- Rights of audience
- Conduct of litigation
- Reserved instrument activities: preparing an instrument of transfer or charge under **Land Registration Act 2002**
- Conveyancing activities
- Certain probate activities
- Administration of oaths

If a business only provides non-reserved legal services, it does not need to be authorised. However, it may choose to be authorised.

Eligibility to be authorised:

To be eligible, a business or organisation must:

1. Intend to deliver legal services; and be one of the following:
 - a. A sole practice
 - b. A legal services body, in which all the managers and interest holders are legally qualified
 - c. A licensable body, in which at least one manager is an authorised person (other than another licensed body)
2. Meet the practising address requirements, which are:
 - a. licensable bodies – practising address in England & Wales
 - b. legal services bodies and sole practices – practising address in the UK
3. If the business is a company, meet one of the SRA's registration requirements – eg. be incorporated in England & Wales, Scotland or Northern Ireland under Parts 1-2 Companies Act 2006.

Types of organisations authorised to provide legal services:

- **Sole Practice:**
 - A solicitor **practising on their own**.
 - SRA calls these practices a 'recognised sole practice'.
 - If an individual is practising through a limited company, that is not a sole practice then the company itself must be authorised.
- **Legal services body:** This is a firm within which all managers/interest holders are lawyers. A legal services body can be a partnership, company, or a limited liability partnership (LLP). Once a legal services body is authorised by the SRA it is called a 'recognised body'.
- **Licensable body or Alternative business structure (ABS):** The managers/interest holders of these businesses include both lawyers and non-lawyers. They must have at least one non-lawyer manager or interest holder. Once a licensable body is authorised by the SRA it is called a 'licensed body'. A non-lawyer can now own shares in an incorporated law firm or share the profits of a partnership, as well as having voting powers.

Firms not authorised by SRA:

- **Law Centres, Legal Advice Centres** – eg. **Citizens Advice Bureau**
- **In-house practice**
- **Multi-national law firms**

Even if the firm is not authorised, all solicitors working within these firms must comply with the code.

COLPS AND COFAS:

SRA Authorisation of Firms Rules 2019 Firms authorised by SRA **must appoint a Compliance Officer for Legal Practice (COLP) and a Compliance Officer for Finance and Administration (COFA).**

COLP:

- Must ensure the firm complies with the terms and conditions of the SRA authorisation.
- Must ensure the firm complies with its statutory obligations
- Must record any failures to comply with the firm's authorisation or statutory obligations and make records available to the SRA
- Must report any material failure to the SRA as soon as practicable.

COFA:

Ensure that the firm complies with the **SRA Accounts Rules 2019** and report any serious breaches to the rules to the SRA promptly.

Who is eligible to be a firm's COLP or COFA?

The COLP or COFA must:

- Be a manager or employee of the authorised body
- Consent to be a COLP/COFA
- Not be disqualified from acting as a Head of Legal Practice or Head of Finance and Administration
- For COLP, be an individual who is authorised to carry on reserved legal activities by an approved regulator

Authorised body = body that has been licensed by the SRA to practice.

Approved regulator = listed as such under LSA (includes SRA + Law Society)

Someone can be both a COLP and COFA, if the fulfil the criteria for both.

COLPs and COFAs do not have sole responsibility for compliance. Managers and owners of the firm are also responsible. This responsibility will be joint and several with firm's other managers.

COLPs and the Code of Conduct:

COLP must monitor, identify risk, and take all reasonable steps to ensure:

- Compliance with **terms & conditions of the SRA authorisation.**
- Compliance by the Firm, managers, employees, and persons with an interest in the Firm, with the SRA's regulation.
- The Firm's managers and interest holders and those employed or contracted with do not cause or substantially contribute to a breach of the SRA's regulatory arrangements.
- A prompt report is made to the SRA of any serious breach of the terms and conditions of the SRA authorisation.

Supervision of the business of the firm:

Practice managers must be approved by the SRA.

Exceptions:

- Practitioners in a sole practice
- If the manager is not involved in any of the following:
 - * Day to day strategic management of authorised body
 - * Compliance with the SRA's regulatory arrangements OR
 - * The carrying on of reserved legal activities/the provision of legal services in England and Wales.
- If the firm has at least one manager or employee and uses the services of a solicitor and who has practised for **3 years** or more who supervises the work at the firm.

Supervision of client matters:

Firm must have a system in place for supervising client's matters with regular checks as to quality of work.

Persons supervising client files:

- Need not have to be legally qualified
- Must have experience and competence to deal with issues
- Must have clear guidance as to when and to whom issues outside their competence/authority should be referred to.

Claims against solicitors:

Consider the seriousness of the complaint:

- * If first complaint, professional misconduct charge is unlikely.
- * If consistent pattern of sloppy or incompetent work, and the cumulative effect of these previous breaches is serious, may be referred to the SDT.

Potential claims against solicitors:

Solicitor must carry out the terms of their retainer with due care and skill and proper diligence.

A client who has suffered loss can sue a solicitor:

For negligence:

- * If there has been a breach of the solicitor's duty of care.
- * Negligence does not necessarily mean inadequate professional services, so SRA will not always get involved.

For breach of contract:

- * If solicitor has not acted in accordance with the terms of the retainer.
- * Claim will be made for the breach of an implied term to carry out the services with care and skill.

Solicitor's negligence and the Code:

- You must inform your clients if you become aware of acts/omissions giving rise to a claim by them against you.
- During an inspection or following a complaint, SRA may discover that a client may have grounds to bring a claim. If so, you must follow SRA's instructions, such as investigating the facts, making reporting of the investigation to SRA and advising the client. You must inform client of your firm's complaints procedure and details of the Legal Ombudsman.

Insurance obligations of firms:

Professional Indemnity Insurance:

Solicitors held out as a principal in private practice must insure against civil liability. **Assistant solicitors or trainees need not have separate insurance.** Minimum insurance cover: £2m

Where a claim is made against a solicitor and the claim may be covered by insurance, notify insurers immediately. However, because of duties of confidentiality, the firm may not be able to reveal all the details to the insurer unless the solicitor has client's consent.

The Compensation Fund:

Solicitors must contribute towards the Solicitors Compensation Fund annually. The aim of the Fund is to enable those who have suffered loss as a result of the dishonesty of a solicitor, or a law firm employee, to be compensated for up to £2m.

No compensation will be paid if applicant is otherwise indemnified against loss. – eg. by professional indemnity insurance.

Disciplinary action against solicitors:

Providing a Poor Service:

Negligence is not a disciplinary offence. However, a negligent solicitor cannot have provided a proper standard of service and will not have met the conduct rules.

Providing inadequate professional services:

A client may not have suffered loss, but a firm could still be found liable for providing inadequate professional service. – eg. following an SRA inspection

Professional misconduct:

Professional misconduct would be a breach of the conduct rules. – eg. if a solicitor undertakes work in a practice area in which they have inadequate expertise and makes a mistake, they are negligent.

Not complying with the Code or breaching one of the Principles may lead to professional misconduct action, which could be referred to the SDT.

Conduct unbecoming a solicitor:

The most serious professional misconduct, solicitor will be suspended or struck off the roll. – eg. embezzling funds from firm's client account.

To whom can a client complain?

First tier – Client will make a formal complaint to the firm:

- Inform clients at the beginning of the retainer that they are entitled to make a complaint and how to make a complaint.
- Inform clients both at the beginning of the retainer and within 8 weeks following the making of a complaint which has not been satisfactorily resolved, of any right that the client may have to complain to the Legal Ombudsman.
- Client complaints must be dealt with promptly, fairly, and free of charge.

Second tier – The Legal Ombudsman (LO):

LO is responsible for investigating complaints made against solicitors where the complaint relates to poor work/service by solicitor.

Can anyone bring a complaint to the LO?

Only an individual whose lawyer is registered in England & Wales, very small businesses, charities, clubs, and trusts can use the LO.

Case fee:

LO case fee: £400 charged to lawyers, unless a complaint is resolved in lawyer's favour and lawyer took all reasonable steps to resolve the complaint. No fee is payable by the complainant.

Timing:

After law firm's final response, client has **6 months** to bring the complaint to the LO, which must be made:

- No later than 6 years from the date of the act/omission or
- 3 years from when the complainant should reasonably have known there was cause for complaint (whichever is the latter).

LO has discretion to accept complaints made after time limits.

Powers:

If LO does think there has been a problem with the legal services, the LO can require the solicitor to:

- Give an apology
- Pay compensation for loss plus interest
- Pay compensation for inconvenience and/or distress
- Correct or put right an error or omission
- Take specific action
- Pay for the costs of the complaint
- Limit the firm's fees

£50,000 cap on compensation (excluding interest + costs).
LO has no powers to discipline or fine a lawyer.

Appeal:

Either can apply to court for judicial review of the decision.

Solicitors Regulation Authority:

Whilst serious disciplinary allegations are prosecuted before the Solicitors' Disciplinary Tribunal (SDT), the **SRA deals with less serious matters.**

The SRA has the power:

- To order the solicitor to remit/refund whole or part of costs
- To impose restrictions on a practising certificate
- To reprimand the solicitor
- To intervene in the solicitor's practice – eg. for a sole practitioner, the SRA can close the firm down and appoint another solicitor to take over that solicitor's work.
- To institute disciplinary proceedings before the SDT

Depending on the nature of the offence, appeals against the decisions of the SRA can be either internal (to the SRA itself) or to the High Court.

Solicitors' Disciplinary Tribunal (SDT):

The SDT's powers:

- Strike a solicitor off the roll
- Suspend a solicitor from practice for a fixed or indefinite period
- Reprimand a solicitor
- Impose a fine (payable to HM Treasury)
- Award costs against a party to the proceedings
- Make a restriction order – to restrict the firm's/solicitor's business

The SDT does **not** have power to award compensation. Appeals against the decisions of the SDT can be made to the High Court.

BUSINESS MANAGEMENT OF A LAW FIRM:

There are rules relating to how law firms are run.

You must report any fact or matter you reasonably believe to amount to a serious breach of the Codes to the SRA.

You will satisfy this obligation if you report the matter to your firm's COLP or COFA.

Supervision/management responsibilities arrangement must include:

- **Compliance by the firm, its managers/employees and contractors with their duties at law and under the Code.** The managers are responsible for the actions of their staff, so if work is outsourced, risk assessments should be carried out and undertakings should be given by contractor to comply with the Code.
- **Compliance with MLR**, renewal of indemnity insurance, practising certificates and submitting accountant's reports as per the **SRA Accounts Rules 2019**
- Compliance with regulatory requirements.
- Identification of conflicts of interests.
- Control of undertakings – eg. by ensuring all undertakings are confirmed in writing; by ensuring only partners give non-regular undertakings wherever necessary.
- Safekeeping of assets and documents – eg. by having systems in place allowing the owner of documents to be easily identified and the matter to which the documents belong.
- Compliance with the rules relating to monitoring, reporting, and publishing workforce diversity data.
- Training of individuals to maintain suitable levels of competence
- Financial control of budgets, expenditure and cash flow
- Have a framework to protect client money and assets

No form set out for these systems, but SRA will require evidence to demonstrate that appropriate arrangements are in place.

Referrals and introductions:

If you refer your client to third parties or if you get work through or from third parties, **you must ensure that your independence is protected and that you are acting in the best interests of client.**

You must ensure the client is aware of the financial interest being paid to/by the introducer.

Advertising your services:

You must:

- * Comply with statutory requirements – eg. Consumer Credit legislation.
AND
- * Have regard to the Advertising Codes of Practice.

You cannot mislead in your publicity, and publicity in relation to your practice must be accurate and including your charges and when interest is payable by or to clients.

You cannot make unsolicited visits or cold call potential clients.

Managers and employees practising as solicitors:

COLP must ensure that only persons who are qualified to act as solicitors actually do so.

No person shall act as a solicitor unless:

1. They have been admitted as a solicitor
2. Their name is on the roll
AND
3. They have a valid practising certificate.

Undertaking **reserved legal activities** without a practising certificate is an **offence** if you hold yourself out as a solicitor when doing so.

Continuing Competence:

Solicitors must ensure that they remain competent.

The SRA requires solicitors to reflect on their practice, to undertake regular learning and development so their skills and knowledge remain up to date, and to record and evaluate their learning and development activity.

THE PROVISION OF FINANCIAL SERVICES

INTRODUCTION:

Financial services = advising on, dealing in and arranging investment products on behalf of clients.

Why are financial services regulated?

As there are many investment products on the market, individuals looking to invest will seek out professional advisers to help them decide which investment to make.

The regulation of financial services ensures that consumers are adequately protected from negligent advisers.

How is the provision of financial services regulated in the UK?

There are two regulators

Prudential Regulation Authority (PRA) – if firm wants to carry out an insurance contract, it must be authorised by the PRA.

Financial Conduct Authority (FCA) – if firm wants to carry out a regulated activity, it must be authorised by the FCA.

REGULATED ACTIVITY QUESTIONS:

s.19(1) Financial Services and Markets Act 2000 Carrying out a **regulated activity** in the UK is a criminal offence unless you are authorised or exempt.

s.22 Regulated Activity = activity carried on by way of business that relates to a specified investment.

Test:

1. **Part III RAO** Is the investment 'specified'?
2. **Part II RAO** Is the activity a 'specified activity' under FSMA?
3. **Part II RAO** Is the activity excluded under FSMA?
4. **s.327 FSMA + SRA Scope Rules** Does the activity fulfil the conditions?

Step 1:

Part III RAO 'Specified investment'?

If not, authorisation is not required. If yes, go to the next step.

- **Insurance contracts:** includes life assurance contracts, endowment policies, insurance against the risk of fire or destruction, mortgage protection policies and legal expenses insurance.
- **Shares**
- **Bonds** or other instruments creating or acknowledging indebtedness
- **Regulated mortgage contracts** = a residential mortgage where 40% or more of the land is to be used as the residence of the borrower/their relative.

It is not any of the following:

- Buy-to-let mortgage
- Loan to companies/commercial properties

Step 2:

Part II RAO 'Specified activity'?

If not, authorisation is not required. If yes, go to the next step.

Look out for more than one category for the same activity.

- **Art 14-21 Dealing in investments** as a principal/agent – buying, selling, or underwriting securities or other investments. Being a trustee will be considered to be a principal.
- **Art 25 Arranging deals in investments** – assist someone with buying or selling shares or arrange share transfers.
- **Art 37 Managing investments** – exercising discretion relating to securities or contractually based investments.
- **Art 40 Safeguarding and administering investments:** Mere safeguarding is not enough, must also administer.
 - **Safeguarding** = physically possess the investments or hold a title to them
 - **Administering** = settling transactions, dealing with dividends or carrying out corporate transactions.
- **Art 53 Advising on the merits of investments:**
 - Eg. advising on insurance policies
 - Solicitors can give generic advice without needing authorisation.
 - Advice requires an **element of opinion + recommendation on a proposed action.**

Not advising on merits if:

- * Advising on the difference between ordinary and preference shares
- * Advising to invest in the US, not Europe
- * Explaining the difference between class A and B shares

Advising on merits if:

- * Suggesting that buying A Ltd's shares is a good investment
- * Suggesting that deal client proposes is a bad or good investment

Step 3:

Part II RAO Is the activity excluded under FSMA as an exclusion?

If not, authorisation is not required. If yes, go to the next step.

Some exclusions may apply to more than one activity.

General exclusions:

Use this list to if you need to go into detail about an exclusion. Also use this list if you get a different Article in your q that wasn't listed above. Same exclusions listed independently of the RAO Article they apply to

1. Art 66 Acting as trustee or personal representative:

If a solicitor is a bare trustee, they are excluded if:

- * They are acting on beneficiary's instructions AND
- * They do not hold himself out as someone buying/selling securities or investments.

If solicitor is a trustee/PR they are excluded if:

- * They are acting as a co-trustee/co-PR OR
- * The transaction is being entered into by the beneficiary.

⇒ *Exclusion is disapplied for insurance contracts.*

2. Art 67 Regulated activities are a necessary part of other services provided:

Necessary part = it must not be possible for the other services to be provided without the dealing/arranging/advising.

Eg. If helping client buy a property, advising on insurance or when selling a leasehold flat, selling the management company's shares

This exemption won't apply if:

1. Specified activity is paid for separately OR
2. If it is a consumer credit-related activity

⇒ *Exclusion disapplied for both insurance contracts and investment services.*

3. Art 70 Dealing with buying/selling of shares in a company:

Criteria – the activity is exempt if one of the below is satisfied:

- The shares purchased (with buyer's existing shares) amount to 50% or more of voting shares.
- The share purchase is between parties each of whom is either a company, partnership or individual. – eg. the solicitor doesn't need authorisation if Tim, having already 40% voting rights is buying A Ltd's shares acquiring further 10% voting rights.
- OR
- The transaction's object is the day-to-day control of the company.

⇒ *Exclusion is disapplied for investment services.*

4. Art 72C Information provided is incidental to giving advice:

This should not be advertised as a separate service, and it must be merely a small part of the whole work done.

5. Solicitor refers client to an authorised person:

- **Art 22 Arranging deals via authorised persons:** Solicitor must account to client for commission.

Criteria:

- 1) It was the authorised person's advice what made client enter into the transaction
- 2) Client wasn't seeking solicitor's advice on merits OR
- 3) The solicitor recommended the client that they see an authorised person.

⇒ *Exclusion is disapplied for both insurance contracts and investment services.*

- Introducing a client to an authorised person for independent advice

Specific exclusions:

Use this list to get an idea as to which exclusions apply for each specified activity

The detailed rules for each exclusion have been set out above.

- Dealing as a principal: Art 14**
 - Art 15** Does not hold themselves out as buying/selling securities, contractually based investments.
 - Art 66** Acting as trustee or PR
 - Art 70** Private company acquisition
- Dealing as an agent: Art 21**
 - Art 22** Arranging deals via authorised persons
 - Art 66** Acting as trustee or PR
 - Art 70** Private company acquisition
- Arranging investment deals: Art 25**
 - Art 29** Arranging deals via authorised persons
 - Art 33** Introducing client to authorised person
 - Art 66** Acting as trustee or PR
 - Art 67** Necessary part of giving advice
 - Art 70** Private company acquisition
 - Art 70C** Incidental to giving advice
- Managing investments belonging to another: Art 37**
 - Art 38** Managing investments under Power of Attorney
 - Art 66** Acting as trustee or PR
- Advising on investments: Art 53**
All general exclusions apply to this Article.

The most common ones:

- Art 66** Acting as trustee or PR
- Art 67** Necessary part of giving advice
- Art 70** Private company acquisition

Step 4:

s.327 FSMA + SRA Scope Rules Does activity fulfil the conditions in both s.327 FSMA and the Scope Rules?

If not, refuse to carry out the activity. If yes, activity is exempt.

Basic Conditions for exemption from authorisation: s.327(2)-(7) FSMA

- Must be member of a profession – solicitors will satisfy this criteria.
- Solicitor must not receive a commission in respect of regulated activities, unless the client gives them informed consent for the commission:

Also, prior to the third-party service, you must:

- * Inform client of their rights to any commission.
- * Inform client that you will **still provide the service** even if they do not waive the commission.
- * Record agreement from the client as to whether:
 - Commission should be passed to client
 - Retained by the firm to offset client fees
 - OR
 - Retained by the firm with the client waiving their right to it.

AND

- Specified activity is incidental to the provision of professional services – eg. must be only a small part of the work that is being carried out, still only incidental even if unnecessary.

Basic Conditions: SRA Scope Rules 2019

The activity:

- Arises out of non-FCA regulated work:
What prompted the activity? – eg. acting for a client on the sale of a company and client asks for advice as to how best to invest in a personal pension this is a separate issue.
- OR
Is complementary to the provision of non-regulated work for client:
The activity should arise naturally out of the legal work.

Examples of complementary activities:

- Property work: giving legal advice, drafting documents, and undertaking a conveyancing transaction involving a regulated mortgage, drafting insurance policy papers.

- Corporate work: giving legal or tax advice, drafting documents to effect the share sale or other investments.
- Litigation work: giving legal or tax advice, drafting documents and dealing with court proceedings.

If these conditions are satisfied, **activity is exempt**.

Conclude:

If activity is not exempt:

If a firm is planning to carry out regulated activities which do not fall within the **s.327 and Scope Rules** exemption, it will need to obtain authorisation from the FCA/PRA. Either obtain authorisation or refuse to carry out.

If carries out unauthorised activities, breach of **s.19(1) FSMA** which is a criminal offence.

Penalty:

Summary offence: Up to 6 months imprisonment and/or fine
Indictment: Up to 2 years imprisonment and/or fine.

Types of authorisation:

- Directly authorised** – ie. where the firm is authorised by the FCA and complies with the FCA Handbook. – eg. independent financial advisers, most stockbrokers, insurance brokers, and some firms of solicitors.
- Supervised by a Designated Professional Body** – The Law Society is a law firm's DPB – but responsibility for regulation rests with SRA as profession's independent regulator. So if a law firm which is supervised by the SRA is carrying out regulated activities, it must comply with the rules of the SRA in relation to such activities.

If activity is exempt, law firm must also:

- Ensure it complies with any restrictions imposed on the firm in relation to this exempt regulated activity under Scope Rules AND
- Be authorised by the SRA in relation to this activity and must comply with **SRA Financial Services (Conduct of Business) Rules 2001**.

FUNDING CIVIL CLAIMS

LEGAL AID FUNDING:

Which type of claims might qualify?

The following will **not** be funded – alternative funding needed:

1. Personal injury or death – but injury due to clinical negligence is not excluded.
2. Conveyancing, boundary disputes, defamation, wills/trust law, company/partnership law, contract claims
3. Employment cases negligence and consumer cases

What type of funding is available?

Legal help: helping with preparing a case, but not litigation

Help at court: allows advocates to speak for the client at a court hearing without acting formally – one-off help for one trial.

Legal representation: covers preparation + litigation + representation.

Assessing whether a client qualifies for help:

Only available to individuals. **Must pass both the merits + means test.**

Merits test:

Moderate prospect of success is enough.

Will be refused funding if:

- Unlikely to win more than the case costs
- Alternative funding available
- Suitable for the small claims track
- Complaints procedure/ADR is not exhausted
- Unreasonable for the public to fund the case

Means test:

If the client or their **partner** receives benefit they are eligible. – eg. **income support**.

If no benefits, then consider client's capital and income:

1. **Capital:** disposable capital is max. £8,000. (+ also look at partner's capital)
AND
2. **Income:** gross monthly income is max. £2,657 + disposable income is max £733 per month. (+ also look at partner's income)

Costs consequences of legal aid funding:

If a client keeps/gains money or property at the end of their case, then they may have to repay some or all of the legal aid costs. This is done through a statutory charge.

Example of statutory charge on the money/property:

If client wins damages of £20,000
Court orders costs of £4,000, LAA costs of £5,000
Statutory charge on damages: £5,000 - £4,000 = £1,000

NO WIN NO FEE AGREEMENTS:

Conditional fee agreements (CFA):

If the client wins the case:

Pays to the solicitor:

- * Solicitor's basic fee and disbursements
- * Success fee (pays out of pocket)
- * Insurance premium (pays out of pocket)

Recovers from the other side:

- * Solicitor's basic fee and disbursements
- * Damages

If the client loses the case:

Pays to the solicitor:

- * Disbursements
- * Insurance premium
- * Damages if there is a successful counterclaim

Recovers from the other side:

 nothing

Damages based agreements (DBA):

If lawyers lose the case, they do not recover any fees.

If lawyers win the case, the max recoverable amount is capped:

1. At 25% of the damages in personal injury cases
2. 35% of damages in employment tribunal cases and
3. 50% of damages in all other cases.

INSURANCE:

If the policy was entered into after 1 Apr 2013: Insurance premium is not recoverable from the other side if the policy-holder then wins at trial and is awarded its costs.

<u>Before the event (BTE) insurance</u>	<u>After the event (ATE) insurance</u>
BTE insurance provides the client with an indemnity for the cost of any legal fees incurred as a result of any future litigation.	Criteria: merits of the case + the level of cover required. – ie. whether a particular insurance company is willing to take on the risk and on what terms.
BTE premiums are relatively low (less than 1% of the insurance cover).	ATE premiums are more expensive (more than 25% of the insurance cover).

FUNDING CRIMINAL CLAIMS

At the police station:

At the police station all suspects are entitled to free legal advice. In addition to this, suspects may pay for solicitors privately.

To determine level of free advice – use the ‘Sufficient benefit’ test:

1. It is reasonable for the suspect to be provided with help
2. Advice is likely to be sufficient benefit to the suspect

If the matter passes the test: solicitor advises face-to-face at police station, attends interviews, identity parades and public hearing.

Passes eg. if there has been serious maltreatment by the police

If the matter fails the test: only entitled to telephone advice.

Fails eg. minor offence, non-imprisonable or to do with drunkenness.

At the Magistrates’ Court:

Apply for a **representation order** as soon as possible to get funding for representation at the hearing.

To obtain this order: D must pass both **means test + merits test**.

Means test:

D will pass this test if:

- * D is under 18
- * D receives unemployment benefits
- OR
- * D receives an income below £12,475 or capital is below £12,475.

Merits test:

s.17 LASPO 2012 D’s solicitor will complete a form demonstrating that **it is in the interest of justice that D is legally represented**.

Are the below factors likely?

- * Is a prison **sentence** likely? – eg. a prison sentence will always be likely for serious offences
- * D losing their **livelihood**? – if a custodial sentence is likely, then D will also likely lose their livelihood.
- * D suffering serious damage to **reputation**? – eg. if D was a lawyer or if D is of previous good character.
- * Is it in the **interest of another** person that D is represented? – eg. if it was a violent/sexual offence, the victim will want to be cross-examined by a lawyer rather than the accused.
- * Does the matter involve a substantial **question of law**?
- * The proceedings requiring:
 1. The tracing or interviewing a **prosecution witness**?
 2. Cross-examination of **experts/witnesses**?

If the D fail these tests:

- * D may consult the duty solicitor on one occasion if D is in prison/custody.
- * D may pay for representation privately.